UNIT 4: STRATEGIES FOR SUCCESS

PART I: JOB READINESS

TOPIC 4: NEW EMPLOYEE PAYROLL PROCESS AND YOUR PAYCHECK

Topic OBJECTIVES: The learner will:

- Understand the new employee payroll process including the forms that need to be filled out and the documents that need to be copied by an employer
- Understand how to read their paycheck/stub

Topic OUTCOMES: The learner will:

- Practice figuring out personal allowances for people with different life circumstances
- Know how to read a paycheck/pay stub and answer questions about a sample paycheck

Topic ACTIVITIES:

Opening Activity: Aluminum Foil Models

Materials: Aluminum Foil (one piece for each participant)

Using the aluminum foil in front of you, create a model of

- something you are saving up your money to buy

OR

- something you hope to buy with your first paycheck

Give people about ten minutes to create their sculptures and then have everyone present their foil sculpture to the group.

Large Group Discussion

Objectives:
- Students will understand the payroll process.
- Students will know what the forms W-4, M-4 and I-9 are for.

Time: 20 minutes

Materials: copies of W-4, M-4, and I-9 forms,
- http://www.mass.gov/Ador/docs/dor/Forms/Wage_Rpt/PDFs/m_4.pdf
- http://www.irs.gov/pub/irs-pdf/fw4.pdf
- http://www.uscis.gov/files/form/i-9.pdf

Ask students if they know what forms they need to fill out when they begin a new job. Ask if they know what the forms are for? Pass out copies of the W-4, M-4 and I-9 documents. Explain why they have to fill out all three forms (federal taxes, state taxes, employment eligibility). Go through the forms with the youth, and answer any questions about the different information that must be filled in.

Explain personal allowances and how to determine the correct number of personal allowances. The more allowances you claim, the less tax will be taken from your check. If you claim too many allowances, you might owe the IRS at the end of the year. (This is not where most people want to be at the end of the year — when in doubt, claim fewer allowances). If you do not claim enough allowances, you will be owed money at the end of the year. If you work more than one job, claim zero allowances at your second, third, fourth jobs. Claiming exempt is NOT the same as claiming zero. Exempt means that you do not have to pay taxes because you will make less than a certain amount of money. When you claim exempt in box 7 on form W-4, federal taxes will not be withheld from your paycheck. When you check box D on form M-4, MA state taxes will not be withheld from your paycheck. Social Security and Medicare will always be withheld. Claiming zero means the highest amount of taxes will be withheld from your check.

Tips for filling out W-4 form,
from http://www.hrblock.com/taxes/tax_tips/tax_planning/fillingout_w4.html

- Generally, claim 1 allowance on your W-4 if you're single, work 1 job and no one can claim you as a dependent.
- You're exempt from withholding if you didn't have any federal tax liability last year and don't expect to have one this year. You can't claim exemption from withholding if someone can claim you as a dependent, and your total income for 2010 is more than $950, and you expect to receive more than $300 of unearned income.
- If you're working more than 1 part-time job, or a full-time job and a part-time job, you may need to withhold more tax (claim fewer allowances) on each W-4.
- If you have taxable income other than wages, adjust your withholding to cover the tax on the extra income.

Go through the 1-9 and review the documents that employees can provide to an employer to establish their employment eligibility — US passport, driver's license or state ID, birth certificate, social security card, etc.

Writing/Reflection/Assessment

Objective: Students will practice figuring out personal exemptions for people with different life circumstances.
Time: 15 minutes
Materials: Handout: "Figuring out Personal Allowances," pens/pencils

Pair students up. Give each student a copy of the handout "Figuring Out Personal Allowances." Ask the pairs to work together to figure out the number of allowances for each person. Discuss the answers when everyone is finished.

Technical/Research: Understanding your Paycheck/Pay Stub

Objective: Students will understand how to read their paycheck/pay stub.
Time: 15 minutes
Materials: Computers with Internet connection, copies of sample paycheck, small prizes, paper for trivia answers, pens/pencils

Instruct students to go to http://www.japersonalfinance.com/gsjapf/activities/page3.jsp?key=Activity1Page1 or http://studentcenter.ja.org/Money/Pages/CountOnIt.aspx and click on Your Paycheck. Give them about 7-10 minutes to move the mouse around to learn about the different parts of the paycheck/stub. Give them a hard copy of the sample paycheck. Let them know they can take notes if they want to. Once everyone has had enough time to learn about the different aspects of the paycheck, ask students to shut down their computers and come back together.

Play a quick trivia game to see who can remember what they just learned. Teams can use the sample paycheck handout. Break the group into small teams (2-4 people) and ask them a number of questions. Tell the teams they must write the answer down to get credit. At the end of the game, collect the answers, score them and hand them back to the teams to go over the correct answers. Give small prizes to the winning team if you want to.

Sample Trivia Questions:

1. How many federal personal allowances did Jane claim?
2. How much does Jane get paid per hour when she works overtime?
3. How much money was taken out of Jane's check for her retirement plan?
4. How much holiday pay has Jane earned so far this year?
5. What is the difference between Jane's gross pay and her net pay?
6. What is the Medicare tax?
7. What was Jane's previous regular pay rate?
8. How many state personal allowances did Jane claim?

Figuring Out Personal Allowances

1. **Greg is 16 years old. He is beginning his first job, a summer job. He expects to make about $1200 for the summer. He is hoping to continue working after the summer. His mother claims him as a dependent on her taxes.**

   a. W-4 Number of allowances _____

   b. M-4 Number of allowances _____

2. **Monique is 21 years old. She is a full time student who has a work-study job on campus during the school year. She makes $5000 at this job in a year. She is beginning a summer job where she expects to make about $2500. No one can claim her as a dependent.**

   a. W-4 Number of allowances _____

   b. M-4 Number of allowances _____

3. **Nicole is a 19 year old, single mother with one child. She lives with her daughter and her grandmother. Her grandmother claims her and her daughter as dependents. Nicole is beginning a new job making $8/hr for 20-25 hours/week.**

   a. W-4 Number of allowances _____

   b. M-4 Number of allowances _____

4. **Miguel is 17 years old. He lives with his father who does not file taxes. He has a part time job after school, and he is beginning a full time job for the summer.**

   a. W-4 Number of allowances _____

   b. M-4 Number of allowances _____

5. **Brian is a 20 year old father of two children. He claims his son on his taxes, and his girlfriend claims their daughter. They live in their own apartment and no one can claim him as a dependent.**

   a. W-4 Number of allowances _____

   b. M-4 Number of allowances _____